Shilpa Medicare

08 February 2026

Strong growth in Formulation Business

RESULTS UPDATE

Sector: Pharmaceuticals **Rating: BUY**

CMP: Rs 316 **Target Price: Rs 434**

Stock Info

Sensex/Nifty	83,580/25,694
Bloomberg	SLPA IN
Equity shares	196mn
52-wk High/Low	Rs 502/260
Face value	Rs 1
M-Cap	Rs. 62bn/USD 0.8bn

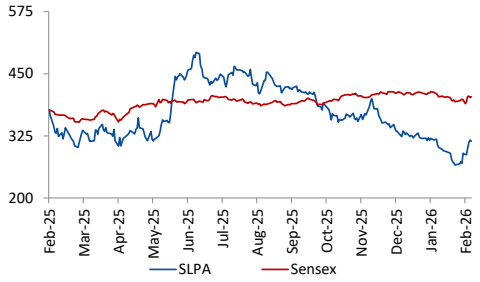
Financial Snapshot (Rs mn)

Y/E March	FY26E	FY27E	FY28E
Sales	14,684	17,054	18,978
Gross profit	10,792	12,791	14,044
Gross Margin (%)	74%	75%	74%
EBITDA	4,754	6,011	6,530
Margin (%)	32%	35%	34%
PAT	2,180	3,074	3,401
EPS	11.1	15.7	17.4
ROE (%)	8%	11%	11%
P/E(x)	28.4	20.1	18.2
EV/EBITDA (x)	14.2	11.1	10.1

Shareholding pattern (%)

	Jun'25	Sep'25	Dec'25
Promoter	44.23	44.23	40.13
FII	11.19	10.92	10.97
DII	7.46	7.67	8.34
Others	37.10	37.18	40.56

Stock Performance (1-year)



Vishal Manchanda
vishalmanchanda@systematixgroup.in
+91 9737437148

Virti Shah
virtishah@systematixgroup.in
+91 22 6704 8099

Loveleen Bagga, CA
loveleenbagga@systematixgroup.in
+91 22 6704 8043

Shilpa Medicare (SLPA IN) Revenue (Rs. 4,097mn up 28.3% YoY) and EBITDA (Rs. 1,143mn) were broadly in line with our expectations. Revenue was up 28% YoY, led by strong growth in Formulations and biologics. The formulation growth is being led by continued exclusivity for Nilotinib/Axitinib in Europe and ramp up of its 505(b) (2) launches in the US. While Nilotinib / Axitinib contribution is at risk of competition, but ongoing ramp up in Bortezomib in US, expected launch of transdermal patch (Rotigotine) and ramp up of its novel liver disease product (nor UDCA) in India should more than offset the decline. There could be timing differences, and we can potentially see a decline first before the new products offset the same. SLPA is also expected to commence manufacturing for Oxylanthanum carbonate (API and Formulation) which as well should support growth in FY27. We tweak our forecasts on SLPA and roll over to FY28E EPS. We upgrade to BUY with a revised PT of Rs. 434 (at 25x)

Q3FY26 earnings highlights

Shilpa Medicare's Q3FY26 revenue at Rs 4,097 mn, was up 28% YoY and 11% QoQ. EBITDA at Rs 1,143 mn grew 42% YoY and 6% QoQ. EBITDA margin stood at 28%, was up by 263 bps YoY and down by 137 bps QoQ. PAT at Rs 446 mn was up by 40% YoY and flattish QoQ. PAT margin stood at 11%, was up by 93 bps YoY and down 103 bps QoQ.

Q3FY26 earnings call highlights

API Business Division

- **Specialty CDMO:** Added three new programs in Q3. The third US NCE program (Unicycive) commercial block will be commissioned in Q4FY26 with exhibit batches in Q1FY27.
- **Oncology:** Added 10 new oncology products; three products were validated in Q3. Scale-up of a non-infringing oncology API completed, with validation batches due in Q4FY26.
- **Peptides:** Semaglutide development (synthetic and semi-synthetic) is progressing; validation batches are planned for completion by Q1FY27.
- **CapEx:** Large-scale peptide manufacturing capacity completion targeted for H2FY27.

Formulations Business Division

- **Nor-UDCA**: Launched in India with excellent physician response; firm orders in place for Q4. **Planning** human studies for Europe in the next financial year.
- **Rotigotine Patch:** Received EMA marketing authorization; launch planned for Q1FY27. US filing targeted **for** Q4FY26.
- **Ondansetron Long Acting:** Phase 3 studies complete; filed in India with commercialization expected in H1FY27. Europe Phase 3 studies to start in Q4FY26.

Investors are advised to refer disclosures made at the end of the research report.

- **Pipeline:** SMLTOP09 (Androgenic Alopecia) human clinical studies planned for FY27; received **positive** European scientific advice.

Shilpa Biologics

- **Biosimilars (Aflibercept):** India Phase 3 ongoing; submission planned for H1FY27.
- **ADCs:** Lab development for SBPL01 (first ADC) completed; entering human studies in FY27. Dedicated ADC GMP facility commissioning in Q4FY26.
- **CDMO:** Five **active** programs; two entering Phase 1 studies in FY27.
- **Recombinant Human Albumin:** Received Global CT protocol approval; IMPD **submission** for Europe targeted for Q4FY26.

Exhibit 1: Quarterly performance

Financial Summary (Rs mn)	3QFY25	2QFY26	3QFY26	YoY (%)	QoQ (%)	FY24	FY25	YoY (%)
Net revenue	**3,193**	**3,700**	**4,097**	**28.3**	**10.7**	**11,516**	**12,864**	**11.7**
Total material costs	910	1,055	1,333	46.5	26.4	4,076	4,104	0.7
% of revenue	28.5	28.5	32.5	404 bps	402 bps	35.4	31.9	(349) bps
Staff costs	735	831	835	13.6	0.5	2,815	2,927	4.0
% of revenue	23.0	22.4	20.4	(265) bps	(208) bps	24.4	22.8	(169) bps
Other expenses	741	731	786	6.1	7.5	2,181	2,663	22.1
% of revenue	23.2	19.8	19.2	(402) bps	(57) bps	18.9	20.7	176 bps
EBITDA	**807**	**1,083**	**1,143**	**41.6**	**5.6**	**2,445**	**2,445**	**0.0**
EBITDA margin (%)	**25.3**	**29.3**	**27.9**	263 bps	(137) bps	**21.2**	**19.0**	(222) bps
Other income	11	18	8	(28.1)	(53.6)	82	232	183.4
Interest costs	117	157	107	(9.1)	(31.8)	918	755	(17.7)
Depreciation	288	298	304	5.4	1.8	1,079	1,079	0.0
PBT	**416**	**644**	**609**	**46.2**	**(5.5)**	**543**	**1,275**	**134.5**
Tax	98	204	163	65.6	(20.1)	224	440	96.7
Tax rate (%)	24%	32%	27%	3 bps	(5) bps	41%	35%	(7) bps
Reported PAT	**318**	**441**	**446**	40.3	1.2	**320**	**834**	161.1
PAT Margin	**10.0**	**11.9**	**10.9**	93 bps	(103) bps	**2.8**	**6.5**	371 bps

Source: Company, Systematix Research

Exhibit 2: Revenue split

Revenue summary	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26	YoY (%)	QoQ (%)
API	1,891	1,820	1,853	1,832	2,035	2,131	17%	5%
Formulations	1,186	1,181	1,290	964	1,369	1,516	28%	11%
Biologicals	309	192	165	354	259	410	114%	58%
Others	58	1	8	64	37	41	4177%	11%
Gross Sales	**3,445**	**3,194**	**3,316**	**3,215**	**3,700**	**4,097**	**28%**	**11%**

Source: Company, Systematix Research

Exhibit 3: Margin Summary

	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26
Gross Margin	67%	68%	65%	72%	68%	75%	71%
EBITDA Margin	24%	25%	25%	25%	23%	29%	29%
EBIT Margin	15%	16%	17%	16%	15%	20%	21%
PAT Margin	8%	5%	5%	10%	4%	15%	12%

Source: Company, Systematix Research

Exhibit 4: Actual vs Estimates

(Rs mn)	Actuals	Systematix	Var (%)
Revenue	4,097	3,963	3%
EBITDA	1,143	1,228	-7%
EBITDA margin (%)	*28%*	*31%*	(309) bps
PAT	446	542	-18%
PAT margin (%)	*11%*	*14%*	(280) bps

Source: Company, Systematix Research

FINANCIALS

Profit & Loss Statement

YE: Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
Net Revenues	**11,516**	**12,864**	**14,684**	**17,054**	**18,978**
YoY gr. (%)	9.7%	11.7%	14.1%	16.1%	11.3%
Cost of Goods Sold	4,076	4,104	3,891	4,264	4,934
Gross Profit	**7,440**	**8,760**	**10,792**	**12,791**	**14,044**
Margin (%)	64.6%	68.1%	73.5%	75.0%	74.0%
Employee Cost	2,815	2,927	3,249	3,574	4,003
Other Expenses	2,181	2,663	2,790	3,206	3,511
EBITDA	**2,445**	**3,171**	**4,754**	**6,011**	**6,530**
YoY gr. (%)	139.0%	29.7%	49.9%	26.4%	8.6%
Margin (%)	21.2%	24.6%	32.4%	35.2%	34.4%
Depreciation & Amortization	1,079	1,079	1,140	1,265	1,340
EBIT	**1,366**	**2,092**	**3,614**	**4,746**	**5,190**
Margin (%)	11.9%	16.3%	24.6%	27.8%	27.3%
Net Interest	918	755	529	529	529
Other Income	82	232	29	173	196
Exceptional Items	-61	-281	-	-	-
Profit Before Tax	**543**	**1,275**	**3,113**	**4,390**	**4,857**
Margin (%)	4.7%	9.9%	21.2%	25.7%	25.6%
Total Tax	224	440	934	1,317	1,457
Effective tax rate (%)	41.2%	34.6%	30.0%	30.0%	30.0%
Minority Interest & Share of Loss from Associates	1	-0	-1	-1	-1
Profit after tax	**319**	**834**	**2,180**	**3,074**	**3,401**
EPS	3.3	8.5	11.1	15.7	17.4
YoY gr. (%)	-198.0%	161.7%	30.4%	41.0%	10.6%

Source: Company, Systematix Research

Balance Sheet

YE: Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
Equity Share Capital	87	98	98	98	98
Reserves & Surplus (Ex OCI)	18,000	23,625	25,805	28,878	32,279
Net Worth	**18,087**	**23,722**	**25,902**	**28,976**	**32,377**
Minority Interest	**-87**	**-85**	**-86**	**-87**	**-88**
Short term debt	3,754	3,544	3,544	3,544	3,544
Long term debt	5,602	2,320	2,320	2,320	2,320
Trade payables	1,748	954	1,762	2,558	2,847
Other Provisions	430	755	755	755	755
Other liabilities	1,296	1,898	2,447	2,818	3,118
Total Liabilities	**30,829**	**33,107**	**36,644**	**40,883**	**44,872**
Net block	13,386	17,309	18,669	19,904	20,064
CWIP	7,187	4,625	4,625	4,625	4,625
Other Non-current asset	564	384	384	384	384
Investments	399	408	408	408	408
Cash and Cash Equivalents	318	285	839	1,960	4,319
Debtors	3,920	4,408	4,940	5,737	6,384
Inventories	3,449	3,479	4,371	5,077	5,649
Other current asset	1,605	2,209	2,409	2,789	3,039
Total Assets	**30,829**	**33,107**	**36,644**	**40,883**	**44,872**

Source: Company, Systematix Research

Cash Flow

YE: Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
PBT	543	1,223	3,113	4,390	4,857
Depreciation	1,079	1,130	1,140	1,265	1,340
Interest	918	755	529	529	529
Others	75	65	-29	-173	-196
Working capital	-836	-1,382	-266	-717	-881
Direct tax	412	470	934	1,317	1,457
Net cash from Op. activities	**1,367**	**1,322**	**3,554**	**3,977**	**4,192**
Net Capital expenditures	-1,666	-1,991	-2,471	-2,327	-1,304
Others	-	-	-	-	-
Net Cash from Invt. activities	-1,666	-1,991	-2,471	-2,327	-1,304
Issue of share cap. / premium	-	4,891	-	-	-
Debt changes	1,397	-2,953	-	-	-
Dividend paid	-	-	-	-	-
Others	-929	-1,306	-529	-529	-529
Net cash from Fin. activities	**468**	**632**	**-529**	**-529**	**-529**
Net change in cash	**169**	**-37**	**553**	**1,121**	**2,359**

Source: Company, Systematix Research

Key Financial Metrics

YE: Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
Per Share (Rs)					
EPS	3.3	8.5	11.1	15.7	17.4
CEPS	14.3	19.6	16.9	22.1	24.2
BVPS	185.0	242.6	132.2	147.8	165.2
Return Ratio(%)					
RoCE	6%	8%	13%	15%	15%
RoE	2%	4%	8%	11%	11%
Balance Sheet					
Net Debt : Equity (x)	0.5	0.2	0.2	0.1	0.0
Net Working Capital (Days)	277.4	349.7	367.5	338.4	330.1
Valuation(x)					
PER	96.9	37.0	28.4	20.1	18.2
EV/EBITDA	15.8	12.6	14.2	11.1	10.1
EV/Sales	0.8	0.4	0.3	0.2	0.1

Source: Company, Systematix Research

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Tel no. 022-66198000/40358000 Fax no. 022-66198029/40358029 Email id contactus@systematixgroup.in. Visit us at: www.systematixgroup.in
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